Organising

Que1. What is organising?

Ans.Organising can be defined as a process that initiates implementationof plans by clarifying jobs and working relationships and effectively deploying resources for attainment of identified and desired results(goals).

Organising essentially implies a process which coordinates human efforts, assembles resources and integrates both into a unified whole to be utilised for achieving specified objectives.

The organising function leads to the creation of an organisational structure which includes the designing of roles to be filled by suitably skilled people and defining the inter relationship between these roles so that ambiguity in performance of duties can be eliminated.

Que. What are importance of organising?



1. Benefits of specialization:- Organising leads to a systematic allocation of jobs amongst the workforce. Work is divided into smaller tasks to minimize workload and increase production, and repetitive performance leads to specialization.

2. Clarity in working relationships:-Organising helps in the definition of all positions as well as the clarification of the limits of power and accountability for each job. It helps in the formation of a hierarchical order, allowing for the assignment of responsibility and the limitation of an employee's authority.

3.Optimum utilization of resources:-All natural resources, financial resources, and human resources are used as a result of organisation.The right assignment of jobs prevents duplication of effort and waste of resources.

4.Effective Administration:-It gives a precise explanation of positions and related duties, reducing confusion and duplication of effort. Clarity in working relationships allows for proper work execution, which results in ineffective administration.

5.Adaption to Change:- The organising process is adaptable, allowing a business to adapt to changes in the business environment.It also provides stability to a business.

6.Development of Personnel:-A well-designed organisational structure stimulates employees' initiative and relative thinking.When managers transfer authority, they lower their burden and so have more time to focus on vital areas of growth and innovation.

7. Expansion and growth:- *By adding more employment roles, departments, product lines, new geographical areas, and so on, organizing helps in the expansion and diversification of an organization, hence increasing customers, sales, and profit.*

Que. Explain the organizing process.



1. Identification & Division Of Work:- The first step in the organising process is to identify and divide the work in accordance with the planned plans. The task is separated into manageable activities to avoid duplication of effort and to distribute the burden of employees among individuals.

2. Departmentalization:- After work has been broken into tiny and manageable activities, those that are similar in nature are grouped together. Such sets make it easier to specialize. This process of grouping is known as departmentalisation. Several criteria can be used to create departments.

3.Assignment Of Duties:- It is necessary to define the work of different job positions and accordingly allocate work to various employees. Once departments have been formed,each of them is placed under the charge of an individual.jobs are then allocated to the members of each department in accordance to their skills and competencies.

4. Establishing Reporting Relationships:- Simply distributing tasks is insufficient.Each person should also be aware of who he must receive orders from and to whom he is answerable. The construction of such clear relationships helps in the formation of a hierarchical structure and helps in the coordination between multiple departments.

Que. What is Organisation Structure?

Ans. The organisation structure can be defined as the framework within which managerial and operating tasks are performed. It specifies the relationships between people, work, and resources in an organisation.

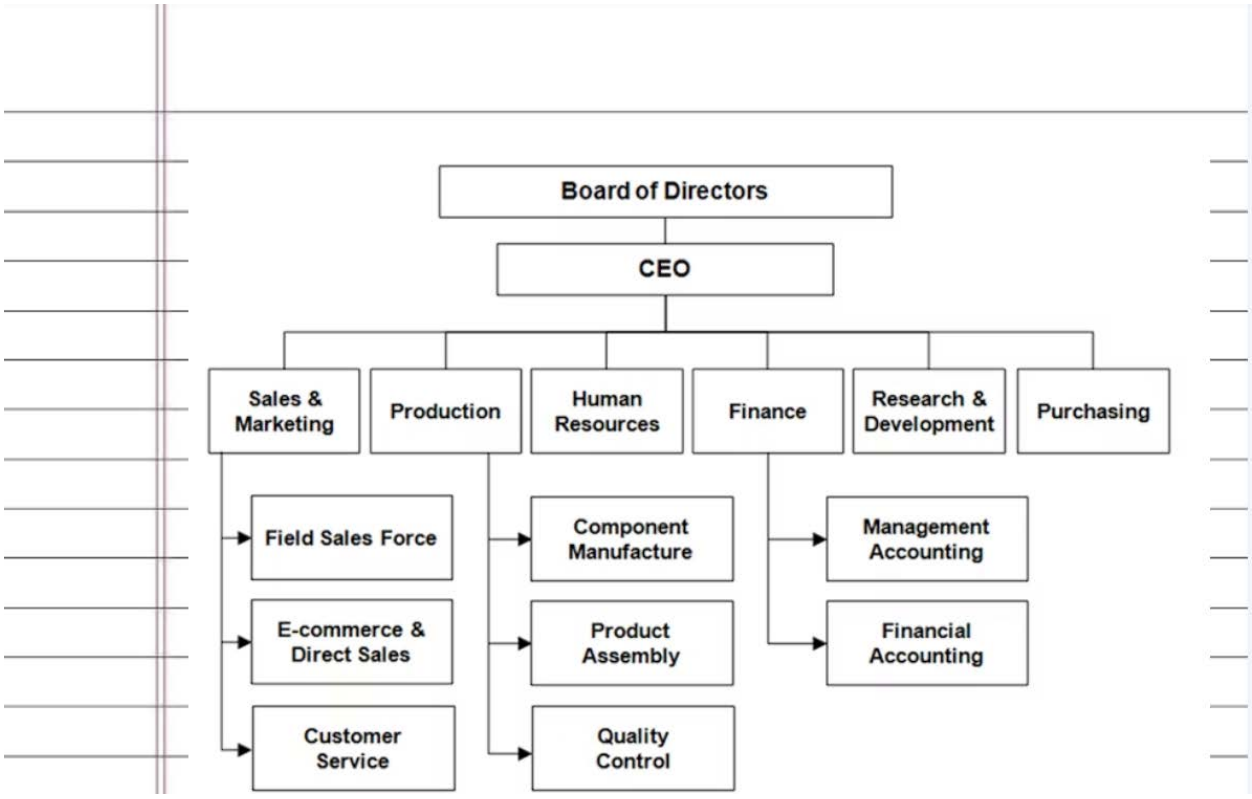
Under the organizational structure, various posts are created to perform different activities for the attainment of the predetermined objectives of the enterprise. The structure provides a basis or framework for managers and other employees to perform their functions.

It allows correlation and coordination among human,physical and financial resources and this enables a business enterprise to accomplish desired goals. The organisation structure of a firm is shown in an organisation chart.

Que. What are the different types of Organisation Structure??

Ans. **There are two types of Organisation Structure:-**

I.FUNCTIONAL STRUCTURE:- In functional structure activities are grouped and departments are created on the basis of specific functions to be performed. For example, all the jobs related to production are grouped under production department, sales departments etc.


Board of Directors
CEO
Sales & Marketing
Production
Human Resources
Finance
Research & Development
Purchasing
Field Sales Force
E-commerce & Direct Sales
Customer Service
Component Manufacture
Product Assembly
Quality Control
Management Accounting
Financial Accounting

Advantages of functional structure:

1. Occupational Specialisation:- A functional structure leads t occupational specialisation since the emphasis is placed on specific functions. This promotes efficiency in the utilization of manpower as employees perform similar tasks within a department and are able to improve performance.

2. Promotes control and coordinates within departments:- It promotes control and coordination within a departmentbecause of similarity in the tasks being performed.

3.Increases managerial and operational efficiency:- It helps in increasing managerial and operational efficiency and this results in increased profit.

4. It leads to minimum duplication of efforts:- It leads to minimal duplication of effort which results in economies of scale and this lowers cost.

5.Easy and effective training:- It makes training of employees easier as the focus is only on a limited range of skills.

6.Due attention to different function:- It ensures that different functions get due attention.

Disadvantages of functional structure:-

1. Places less importance on the overall objective of the organization:- A functional structure places less emphasis on overall enterprise objectives than the objectives pursued by a functional head. Such practices may lead to functional empires wherein the importance of a particular function may be overemphasized. Pursuing departmental interests at the cost of organizational interests can also hinder the interaction between two or more departments.

2. Problems of coordination:- It may lead to problems in coordination as information has to be exchanged across functionally differentiated departments.

3.Inflexibility:- It may lead to inflexibility as people with same skills and knowledge base may develop a narrow perspective.

4.Conflict of interest:- A conflict of interests may arise when the interests of tw oor more departments are not compatible. For example, the sales department insisting on a customer friendly design may cause difficulties in production. Such dissension can prove to be harmful in terms of fulfillment of organisational interest. Interdepartmental conflicts can also arise in the absence of clear separation of responsibility.

5.Difficult to fix accountability:- In case of failure of organisational objective, the departmental head blames other departments are interrelated and it is very difficult to find out which department is going against the organisational goal.

Suitability of functional structure:-

a. Division of work as per functions.

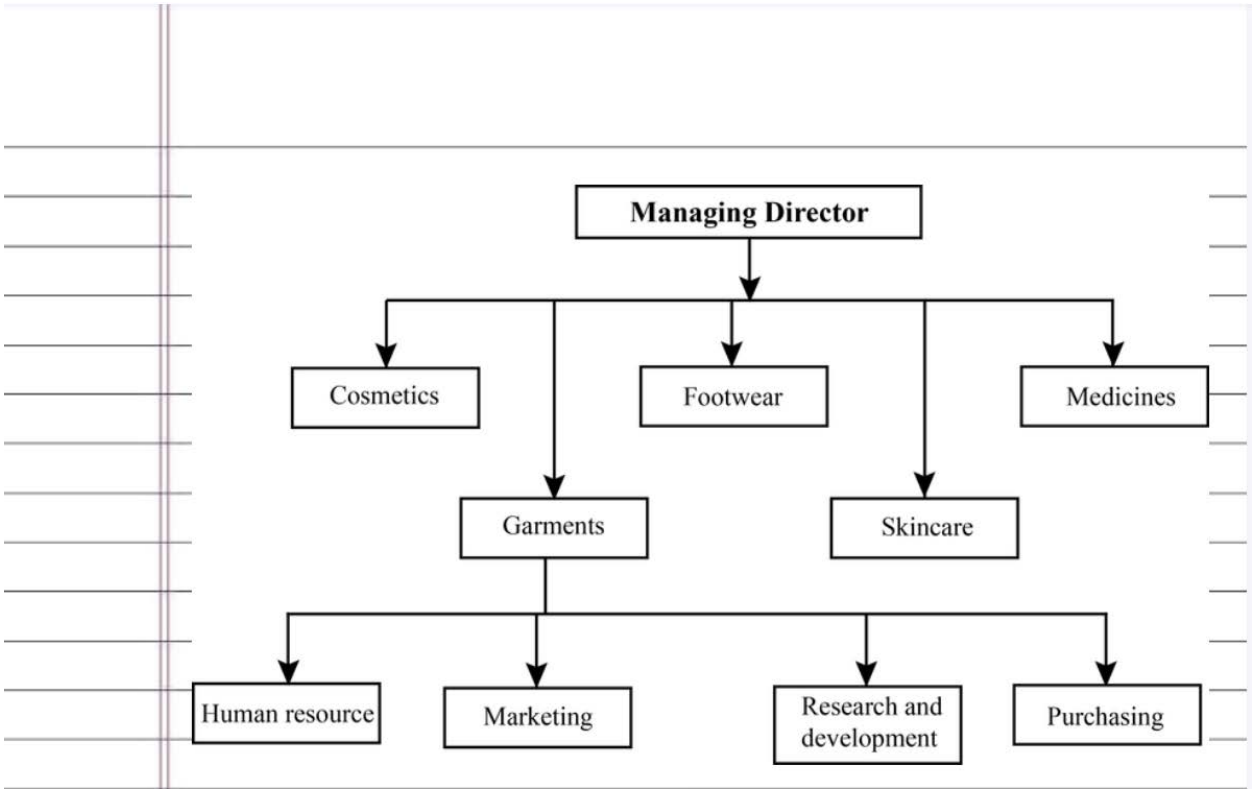
b. Specialisation in every function.

c. Grouping of similar nature of jobs.

d. Uniproduct or Single or one type of product manufacturing company.

2. Divisional organization structure:- Dividing the whole enterprise according to the major products to be manufactured (like metal, plastic, cosmetics etc.) is known as divisional organization structure.

In a divisional structure, the organisation structure comprises of separate business units or divisions. Each unit has a divisional manager responsible for performance and who has authority over the unit.Generally, manpower is grouped on the basis of different products manufactured. Each division is multifunctional because within each division functions like production, marketing, finance, purchase, etc,are performed together to achieve a common goal


Managing Director
Cosmetics
Footwear
Medicines
Garments
Skincare
Human resource
Marketing
Research and development
Purchasing

Advantages of divisional organization structure:-

1. Product specialization:- Product specialization helps in the development of varied skills in a divisional head and this prepares him for higher positions. This is because he gains experience in all functions related to a particular product.

2. Fast decision-making:- The decision is taken much faster in divisional structure because there is no dependence on other departments for taking decisions.

3.Accountability:-Divisional heads are accountable for profits, as revenues and costs related to different departments can be easily identified and assigned to them. This provides a proper basis for performance measurement. It also helps in fixation of responsibility in cases of poor performance of the division and appropriate remedial action can be taken.

4. Flexibility:-It promotes flexibility and initiative because each division functions as an autonomous unit which leads to faster decision making.

5.Expansion and growth:- It facilitates expansion and growth as new divisions can be added without interrupting the existing operations by merely adding another divisional head and staff for the new product line.

Disadvantages of divisional structure-

1. More resources required:- Each department will require all the resources as every division will be working as an independent unit.

2. Product focus department:- It provides managers with the authority to supervise all activities related to a particular division. In the course of time, such a manager may gain power and in a bid to assert his independence may ignore organisational interests.

3.Conflict:-Conflict may arise among different divisions with reference to allocation of funds and further a particular division may seek to maximise its profits at the cost of other divisions.

4. Increase in cost:- It may lead to increase in costs since there may be a duplication of activities across products. Providing each division with separate set of similar functions increases expenditure.

Suitability of divisional structure-

1. Organising producing multi-product or different line products.

2.Organisations which require product specialisation.

3.Organising which require each division to be self-contained asunder divisional structure each department has production, sale finance department.

Difference between Functional and Divisional Structure:-

Basis	Functional Structure	Divisional Structure
Formation	Formation Is based on functions	Formation is based on product lines and is supported by functions
Specialisation	Functional specialisation	Product specialization
Responsibility	Difficult to fix on a department	Easy to fix responsibility for performance
Managerial Development	Difficult, as each functional manager has to report to the top management	Duplication of resources in various departments, hence costly
Cost	Functions are not duplicated hence economical	Duplication of resources in various departments, hence costly.

Que. What is a Formal organisation ?

Ans. The term "formal organisation" refers to the organisational structure developed by management to achieve organisational goals. The boundaries of power and responsibility are clearly defined in a formal organisation, and there is systematic coordination among all of the duties to achieve organisational goals.

Que. Explain the Features of Formal organisation .

Ans. **Features of formal organisation are as follows:-**

1. The formal organisational structure is created intentionally by the process of organising.

2. The purpose of formal organisation structure is achievement of organisational goal.

3. In formal organisation structure, each individual is assigned a specific job.

4. In formal organisation every individual is assigned a fixed authority or decision-making power.

5. Formal organisational structure results in creation of superior-subordinates relations.

6. Formal organisational structure creates a scalar chain of communication in the organisation.

Que. Explain the advantages of Formal organisation.

1. Achievement of organisational objective:- It leads to effective accomplishment of goals by providing a framework for the operations to be performed and ensuring that each employee knows the role he has to play.

2.No overlaping of work:- There is no ambiguity in the role that each member has to play as duties are specified. This also helps in avoiding duplication of effort.

3.Creation of chain of command:- Unity of command is maintained through an established chain of command.

4. More emphasis on work:- More emphasis on work within a formal organization means that the organization places a greater focus on achieving its goals and objectives through its employees' work activities.

5. Systematic work:- Within a formal organisation, systematic work refers to the method of organizing work in an organised manner in order to achieve certain goals efficiently and effectively. Systematic work may help formal organisations become more efficient and error-free.

6. Coordination:-By establishing these key elements and ensuring effective coordination, formal organizations can achieve their goals efficiently and effectively while minimizing duplication of effort and conflicts between different groups within the organization.

Que. Explain disadvantages of Formal organisation .

Ans.**Disadvantages of Formal organisation are as follows:-**

1. Delay in action:- The formal organisation may lead to procedural delays as the established chain of command has to be followed which increases the time taken for decision making.

2.Ignores social needs of employees:- It is true that formal organizations often prioritize achieving their goals and objectives over the social needs of their employees. This can create a work environment that is impersonal, rigid, and focused solely on performance and productivity.

3.Emphasis on work only:-It is difficult to understand all human relationships in an enterprise as it places more emphasis on structure and work. Hence, the formal organisation does not provide a complete picture of how an organisation works.

Que. What is an informal organisation?

Ans. Interaction among people at work gives rise to a 'network of social relationships among employees' called the informal organisation. The main purpose of this organization structure is the psychological satisfaction of the employees with common interests. For example, employees with similar interests in books, films, religion, etc. may form their own informal groups.

Que. Explain features of informal organisation.

Ans. **Features of informal organisation are as follows:-**

1. Informal organisational structure gets created automatically without any intended efforts of manager.

2. Informal organisation structure is formed by the employees to get psychological satisfaction.

3. Informal organisational structure does not follow any fixed path of flow of authority or communication.

4. Source of information cannot be known under informal structure as any person can communicate with anyone in the organisation.

5. The existence of informal organisational structure depends on the formal organisation structure.

Que. Explain the advantages of informal organisation.

Ans. **The advantages of an informal organisation are as follows:-**

1. Fast communication:- Prescribed lines of communication are not followed. Thus, the informal organisation leads to a faster spread of information as well as quick feedback.

2.Fulfills social needs:- It helps to fulfill the social needs of the members and allows them to find like minded people. This enhances their job satisfaction since it gives them a sense of belongingness in the organisation.

3. Correct feedback:- Through informal structure the top level managers can know the real feedback of employees on various policies and plans.

Que. Explain the disadvantages of informal organisation.

Ans. **The disadvantages of informal organisation are as follows:-**

1.Spread rumors:-When an informal organisation spreads rumours, it becomes a destructive force and goes against the interest of the formal organisation.

2.No systematic work:-Informal structure does not form a structure for smooth working of an organisation.

3. May bring negative results:- The management may not be successful in implementing changes if the informal organization opposes them. Such resistance to change may delay or restrict growth.

4. More emphasis on individual interests:- Informal organizations emphasize more on individual satisfaction rather than organizational interest.

Que. What are the strategies to use informal organisation.

Ans. **Strategies to use informal organisation are as follows:-**

1. The knowledge of informal group can be used to gather support of employees and improves their performance.

2. Through grapevine important information can be transmitted quickly.

3. By cooperating with the informal groups the managers can skillfully take the advantage of both formal informal organisations.

Difference between Formal and Informal Organisation.

Basis	Formal organisation	Informal Organsiation
Meaning	It refers to the structure of well defined authority and	It refers to the network of social relationships arisingout of interaction among employees
Origin	As a result of company rules and policies	Arises as a result of social interaction
Authority	Arises by virtues of positionsin management	Arises out of personal qualities.
Adherence to rules	Violations of rules may lead to penalties and punishments.	No such penalties and punishments.
Flow to Communication	Communication takes place through the scalar chain	Not through a planned route,it can take place in any direction.
Purpose	To achieve planned organizational objectives.	To satisfy social and cultural needs and fulfill common interests
Nature	Rigid	Flexible
Structure	Well defined structure of tasks	No clear cut structure because

Que. What is Delegation?

Ans. According to Theo Haimman "Delegation of authority merely means the granting of authority to subordinates to operate within prescribed limits."

According to Louis Allen, "Delegation is the process a manager follows in dividing the work assigned to him so that he performs that part which only he because of his unique organisational placement, can perform effectively and so that he can get others to help with what remains".

Delegation refers to the downward transfer of authority from superior to subordinate employees. The importance of delegation is that it helps in effective management, employee development, motivation, growth and coordination.

Que. What are the elements of delegation?

Ans. Elements of delegation are as follows:-

1.**Authority:** Authority refers to the right of an individual to command his subordinates and to take action within the scope of his position. Authority determines the superiornsubordinate relationship wherein thesuperior communicates his decisionto the subordinate, expecting compliance from him and the subordinate executes the decisionas per the guidelines of the superior.

Authority relationships helps to maintain order in the organisation by giving the managers the right to exact obedience and give directions to the workforce under them.

2. Responsibility:- Responsibility is the obligation of the subordinate to properly perform the assigned duty. It arises from a superior–subordinate relationship because the subordinate is bound to perform the duty assigned to him by his superior. Thus, responsibility flows upwards, that is a subordinate will always be responsible to his superior.

An essential factor to keep in mind with regard to both authority and responsibility is that when a worker is given a job to do, he must also be given the level of authority required to complete it. Therefore, for effective delegation, the authority granted must align with the responsibility assigned.

3.Accountability:-Accountability implies being accountable for the final outcome. When a superior assigns a work to a subordinate, he/she is answerable to the superior for its outcome.Accountability implies being answerable for the final outcome.

One can not decline accountability once duty and authority have been accepted. It can't be delegated and moves up, thus a subordinate will be responsible to a superior for completing the assignment to their satisfaction.

Que. Explain the importance of delegation of authority.

Ans. **The importance of delegation of authority is as follows:-**

1. Reduction of Executives' work load:- It reduces the workload of officers. They can thus utilize their time for more important and creative works instead of works of daily routine.

2.Employee development:- As a result of delegation, employees get more opportunities to utilise their talent and this may giverise to latent abilities in them.It allows them to develop those skills which will enable them to perform complex tasks and assume those responsibilities which will improve their career prospects. It makes them better leaders and decision makers.

3.Quick and better decision are possible- The subordinate are granted sufficient authority so they need not to go to their superiors for taking decisions concerning the routine matters.

4.High Morale of subordinates:- Because of delegation of authority to the subordinates they get an opportunity to display their efficiency and capacity.

5.Better coordination:- The elements of delegation – authority, responsibility and accountability help to define the powers, duties and answer ability related to various job positions which results in developing and maintaining effective coordination.

Difference between Authority, Responsibility, and Accountability.

Difference between Authority, Responsibility and Accountability

Basis	Authority	Responsibility	Accountability
Meaning	Right to command	Obligation to performan assigned task.	Answerable for the outcome of the assigned task.
Origin	Arises from formal position	Arises from delegated authority	Arises from responsibility
Delegation	Can be delegated	Cannot be entirely delegated	Cannot be delegated at all
Flow	Downward flow from superior to subordinate.	Upward flow from subordinate to superior.	Upward flow from subordinate to superior.

Que. What is Centralisation?

Ans. Those organisations in which decision-making authority lies with the top management are termed as centralisation.

Que. What is decentralisation?

Ans.According to Louis Allen "Decentralisation refers to systematic effort to delegate to the lowest level all authority except that which can be exercised at central points".

Decentralisation means delegation of authority throughout all the levels of the organisation. This empowers lower levels to take decisions regarding problems faced by them without having to go to the upper levels. In other words decision making authority is given to all the employees at all levels depending on the job each one of them are handling.

Que. Explain the features of decentralisation.

Ans. **Explain the features of decentralisation are as follows:-**

1. Decentralisation is much more than a mere transfer of authority to lower level.

2.It implies selective dispersal of authority.

3.It shows the belief that people are competent, capable and resourceful.

4. Decentralisation indicates that employees at middle and lower levels can assume responsibility for effectively implementing their decision.

Que. Explain the importance of decentralization.

1.Develops initiative among subordinates:-It helps to promote confidence and self reliance in the subordinates as they are given freedom to take their own decisions.

2.Develops managerial talent for future:-Formal training is critical in providing subordinates with the necessary skills. Talents that will help them advance in the business, but who can also be considered for more challenging positions through promotions.The experience gained from handling jobs independently is critical. Decentralisation allows them to demonstrate their abilities and generates a pool of skilled workers.

3.Quick decision making:-Decentralised organisation, decisions are made at levels nearest to the action points and there is no need for approval from many levels, so the process is much faster. Additionally, because the information doesn't have to travel through lengthy channels, there are fewer chances of it becoming distorted.

4. Relieves the top management:- Because a subordinate has more freedom to act and make decisions, within the boundaries that the superior has established, decentralization reduces the amount of direct supervision that a superior exercises over the activities of a subordinate. Additionally, other types of control, like return on investment, etc., typically take the place of personal supervision. Decentralization also frees up more time for senior management, which they can use to make key policy decisions.

5. Facilitates growth:- Decentralisation gives lower-level management, as well as divisional or departmental heads, more autonomy. This helps them to work in the best way possible for their department and generates a spirit of rivalry among the departments.

6.Better control:- With decentralisation, it is possible to assess performance at every level and hold departments individually responsible for their outcomes. It is possible to determine the degree to which organisational goals have been achieved as well as the role played by each department in achieving the overall goals.

Difference between Delegation and Decentralisation.

Difference between Delegation and Decentralization

Basis	Delegation	Decentralisation
Nature	It is a compulsory act.	Decentralisation is an optional policy decision.
Freedom of action	Less freedom to take decisions due to more control by the superiors.	Less control over executives hence greater freedom of action.
Status	It is a process followed to share tasks.	It is the result of the policy decision of the top management.
Scope	It has narrow scope, as it is limited to superior and his immediate subordinate.	It has wide scope as it implies extension of delegation to the lowest level of management.
Purpose	Narrow as it is confined to a superior and his immediate and subordinate.	To increase the role of the subordinates in the organisation by giving them more autonomy.